WorkHorse Inc.

FINANCIAL PLANNING

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FINANCIAL MODEL: ASSUMPTIONS

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Market Growth	• Expert estimate: 30% (NA), 35% (EU)
Market Share	• 5% (2021) → 10% (2022) → gradual rise
Retail Margins	• 40% WonderFoal / 60% NokotaStar
Interest Calculation	• at simple interest
Gross Margin	• WF: 60→53% / NS: 43→36%
Payroll Growth	• $0.2M → $4.6M (2020–25)
OpEx Trend	• R&D & Marketing +80% by 2025

REVENUE ANALYSIS 2021–2025

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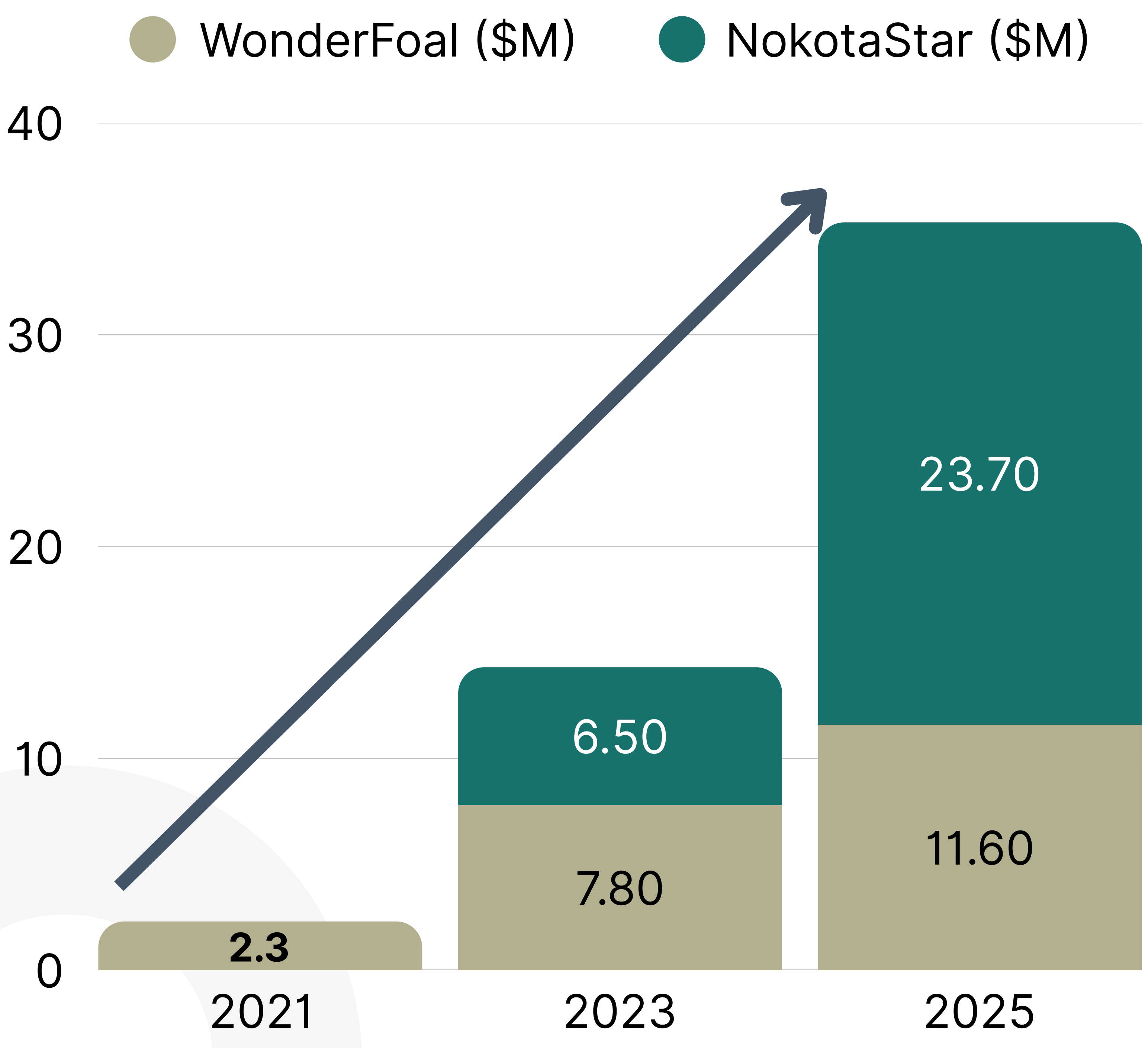

Level & Diversification

- 2021 base: $2.3 M (100 % WonderFoal)
- 2025 target: $35.3 M (two-product mix)
- Revenue split 2025: WonderFoal 33 % | NokotaStar 67 %

Growth Trajectory

- Total growth ≈ 15X (2021–2025)
- WonderFoal ≈ 5X increase
- NS launch 2022 → dominant by 2025

Timing / Inflow

- No seasonality
- Steady cash inflows; even recognition across quarters

PRODUCT FINANCIAL SNAPSHOT

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Product	WonderFoal	NokotaStar
	(Launch: Jan 2021 | Target: Hikers)	*(Launch: Jan 2022 | Target: Campers)*
List price/Unit	$580	$780
Retail Margin	40%	60%
Net to WorkHorse Inc/Unit	~$331	~$296
Sales Volume	7K → 35K units (2021–2025)	10K → 80K units (2022–2025)
Revenue Growth	$2.3M → $11.6M	$3.0M → $23.7M
COGS/Unit	$127 → $154 (~4% CAGR)	$157 → $183 (~4% CAGR)
Gross Margin	~56%	~34%

2021

Total Revenue: $2.3M → $35.3M

COGS: $1.0M → $20.7M

Net Profit (before OpEx): $1.3M → $14.6M

2025

TOP-DOWN VS BOTTOM-UP

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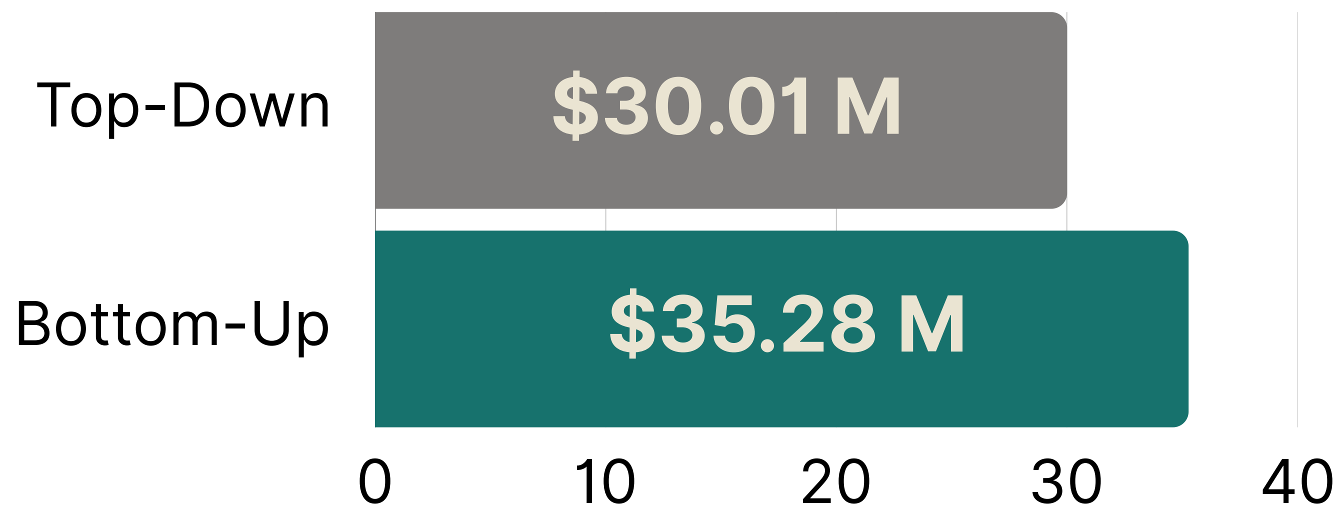

Reality Gap: +$5M (18%) by Year 6

Interpretation:

- Top-Down: Conservative view based on market penetration.
- Bottom-Up: Reflects achievable performance based on actual operations and scaling assumptions.

Consistent Direction:
Both approaches reinforce the same growth trajectory → increases confidence in revenue estimates.

Moderate Positive Gap (+$5M):
Bottom-Up projects higher revenue, driven by optimistic unit sales, pricing, and operational capacity.

Reality Gap Ratio ≈ 1.18×:
A healthy variance: indicates potential upside without suggesting unrealistic overestimation.

COST STRUCTURE

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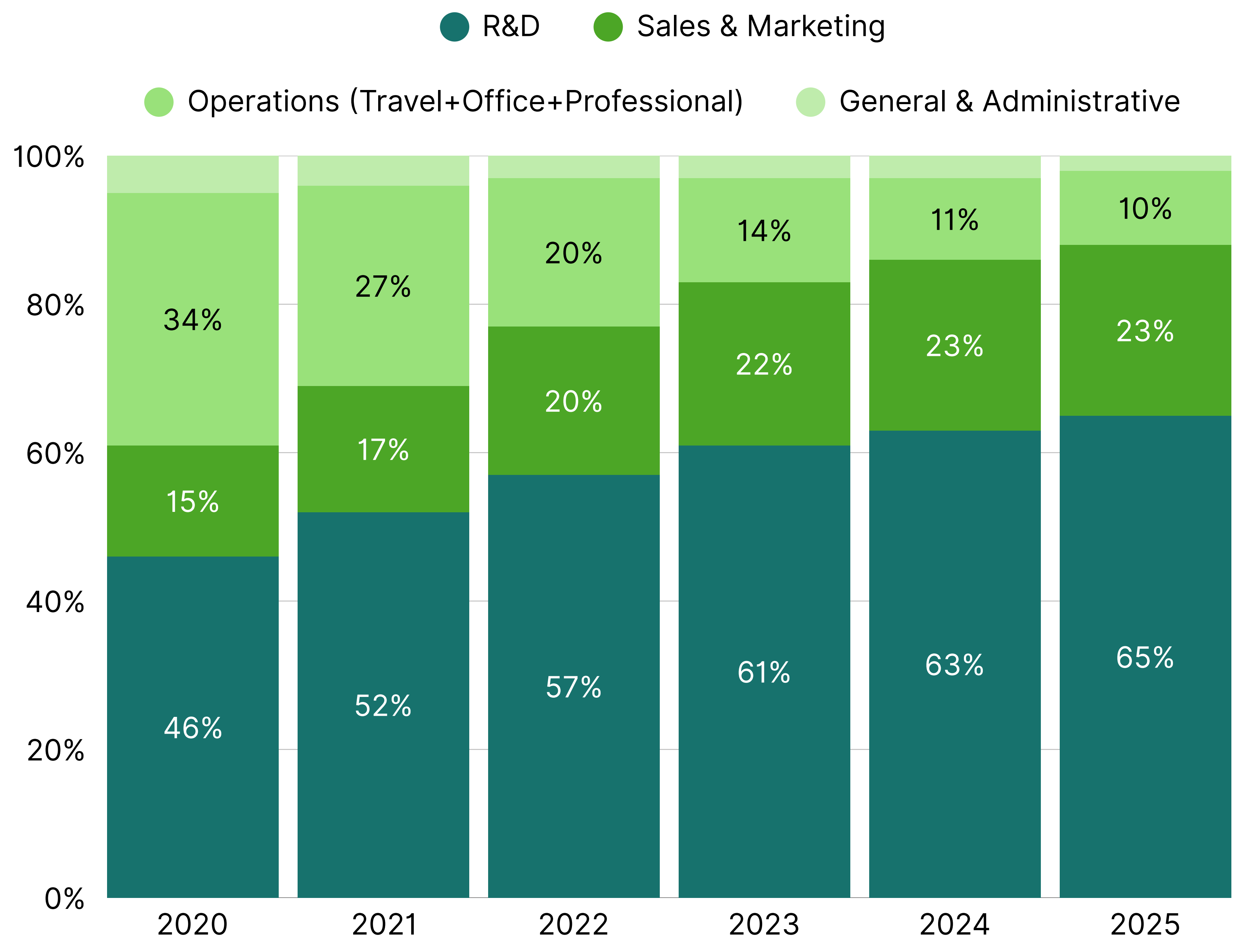

Operating Stack

Nature of Costs

- **95 % Operating, < 5 % Capital → asset-light model**
- **~60 % Variable (COGS, payroll, logistics)**
- **~40 % Fixed (R&D salaries, admin, tooling)**

Level & Composition

- **OpEx: $0.2 M (2020) → $2.4 M (2025) (~12×)**
- **R&D: 46 % → 65 % | S&M: 15 % → 23 %**
- **Ops + G&A: 34 % → 10 % | Payroll: $0.2 M → $4.6 M**
- **Gross Margin: ≈ 45 % average**

Growth & Outlook

- **Costs scale with revenue (≈ 15×) but efficiency improves**
- **Fixed-cost share declines → stronger operating leverage**
- **Spending mix shifts → commercialization & scale**

PROFITABILITY

PATH TO BREAK-EVEN & SCALE

1. Revenues scale sharply with transition to NokotaStar (2023+)
2. Gross Margin improves from 60% → 41% as volume increases (but still healthy)
3. Operating leverage: fixed OpEx grows slower than revenue
4. Break-even occurs in 2022 (first positive net profit)
5. Net profit after tax rises from –$0.56M (2021) → +$5.47M (2025)
6. Profitability accelerates due to recurring sales

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CASHFLOW MODEL 1

Goal: Grow fast, accept dilution

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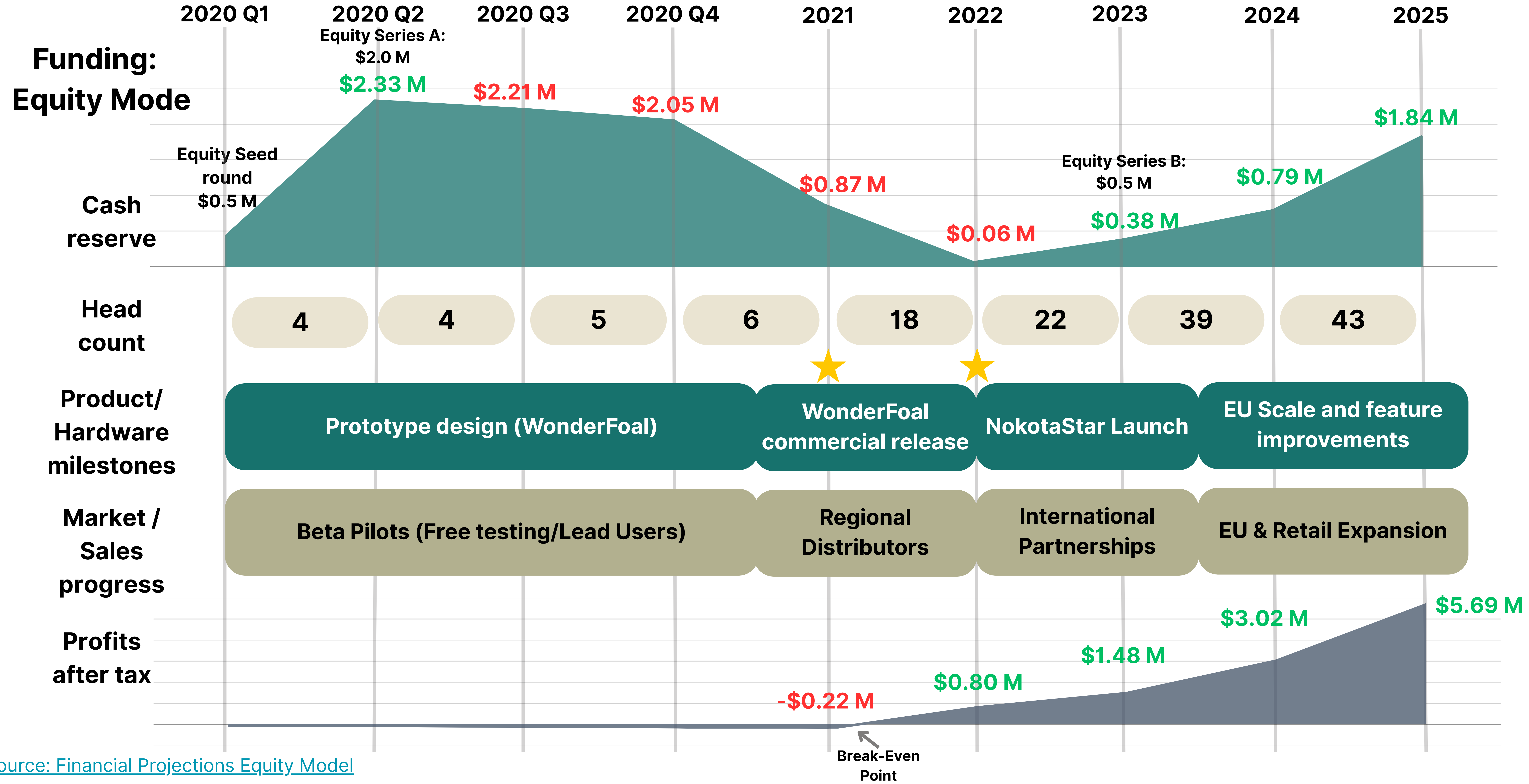

Source: Financial Projections Equity Model

CASHFLOW MODEL 2

Goal: Minimize dilution, stay lean

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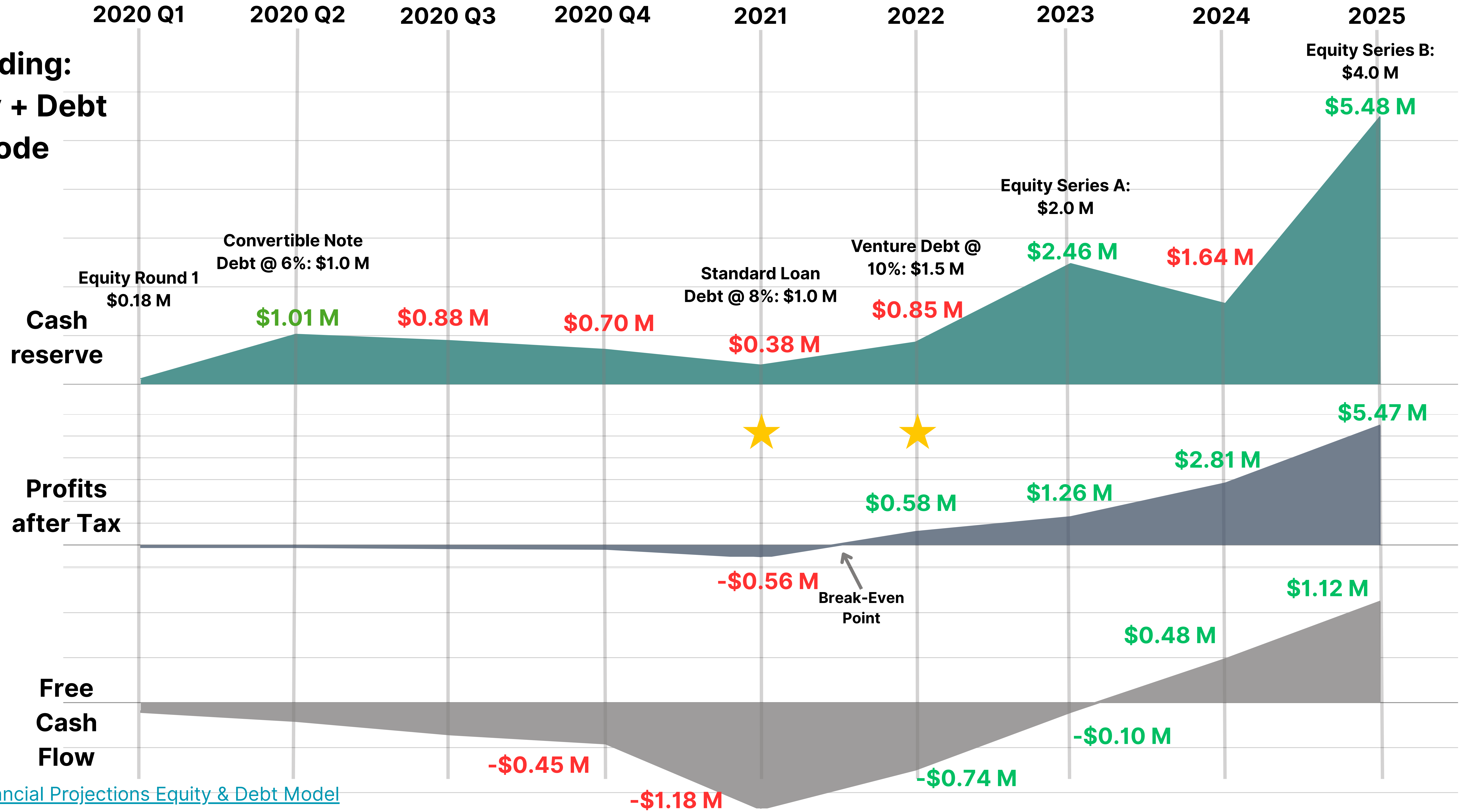
Funding: Equity + Debt Mode



Source: Financial Projections Equity & Debt Model

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THANK YOU

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